

INDUSTRY OVERVIEW

Post-investment, start-ups that break out are those that have the ability to find product-market fit

12-18 MONTHS ▶ Time taken by hardware-led deep-tech start-ups to close their first three enterprise contracts

2X HIGHER ▶ Pilot-to-revenue conversion for start-ups with at least 24 months of runway

90 DAYS ▶ Pilots that show economic value within this time are far more likely to scale up

60%+ ▶ Cases where pilots can convert to paid contracts by delivering 15% operational revenue

40% ▶ Amount of capital start-ups need to reserve for product and IP to survive longer funding cycles

PILOTS: SUCCESS VS FAILURE

LENS	PILOTS THAT SCALE UP	PILOTS THAT STALL
Goal	Measurable business value	Only technical feasibility
Time frame	60–90 days	Open-ended
Enterprise signal	Cost savings, efficiency, revenue lift	No quantifiable RoI
Integration	Fits existing systems	Requires rework
Adoption	>60% convert to paid deployments	Rarely scale up
Success threshold	≥15% operational improvement	Below threshold
Risk mitigation	Masked/synthetic datasets	Open or overly restricted data

SOURCE INDUSTRY EXPERTS

tation, non-sensitive synthetic datasets are isolated, stored using encryption, and accessed through gated controls.

CAPITAL ALLOCATION

The most resilient founders plan for sustainability early. Capital is allocated with a clear view of what reduces existential risk: technical, regulatory, or commercial, at each stage. They avoid premature scaling up and are comfortable saying no to opportunities that don’t strengthen their long-term moat.

“We also see a strong emphasis on optionality: building platforms that can serve multiple use cases, protecting IP that compounds over time, and maintaining financial discipline to survive longer cycles. Deep-tech is more about endurance than speed. Founders who understand that, from day one, tend to win,” says Taneja.

The strongest companies separate capital for research, customer acquisition, and regulatory work instead of spending opportunistically. “In our data, start-ups that kept at least 40% capital for product and IP development had longer survival and higher acquisition interest. This discipline helped them outlast peers when funding cycles tightened,” says Sharma.

Gox.ai, an AI-powered automated business reporting firm, maintained strict discipline. The company was initially funded through the founder’s personal savings accumulated from years in corporate roles, and costs were kept minimal. It took 12 months for them to get their first customer. Early growth at Tagbin, an AI-powered immersive museum experiences company, was almost entirely bootstrapped, driven by execution rather than funding rounds.

India’s deep-tech sector is moving from ideas to real impact. Success now comes from careful execution, not just funding or hype. Founders who plan for scale, protect data and IP, and use capital wisely are the ones building lasting companies. Pilots that show real value, teams that stay strong, and solutions that work in the real world turn innovation into success. In deep-tech, steady, smart progress beats speed every time. **BT**